

CHALLENGES AHEAD



The biggest challenge is the coming impact of artificial intelligence on talent acquisition and downsizing

Geopolitical forces like conflicts, Donald Trump's tariffs, and M&A hurdles

The inability to usher in a cohesive group culture

Internal challenges for family businesses like feuds and divisions will need to be handled carefully



“For all conglomerates, the ability to marry good governance with the right competitive strategy is the key to success”

PROFESSOR J RAMACHANDRAN

Retired Professor of Strategy, IIM-Bangalore

and market leadership. Our non-food diversification is measured and strategic.”

DIGITAL CONGLOMERATE

The term conglomerate is usually used in the context of physical, brick-and-mortar companies. With their rapid growth, Google, Apple, Amazon, Meta and Microsoft acquired complex structures befitting conglomerates, offered diversified products and had the potential to run into conflict with regulators.

Cut to the digital landscape in India. One of the biggest online companies in India that can be truly called a digital conglomerate is Info Edge, founded by Sanjeev Bhikchandani and Hitesh Oberoi in 1995. With about 6,000 employees, the company focuses on recruitment, matrimony, real estate and education. With the large amount of cash generated by *naukri.com*, the parent has invested in about 100 start-ups. One of its biggest bets is an early investment in Zomato, now Eternal.

How will the group grow in the next decade? As a company, it has decided not to get into new verticals but strengthen and consolidate the existing ones. Artificial Intelligence (AI), which has made its presence felt in the past couple of years, will increasingly play a role in Info Edge's jobs and recruitment business. Says Hitesh Oberoi, Managing Director and CEO: “At one level, many jobs will be lost as AI will make the ecosystem far more efficient. At another level, experts say that AI can create many new jobs. For example, in our resume writing service and the job interview service, we use AI. We do not know right now how it will

play out. It is an opportunity and a threat. But one thing we know: it will be disruptive.”

WHAT FUTURE HOLDS

One development Indian companies need to look out for is the changing geo-political world order. These include wars in parts of the world, the impact of Donald Trump's new tariff regime, and the realignment of countries like China, Russia, Turkey and North Korea. India's role in such developments and ability to keep its economy healthy will be critical.

Says IMI's Professor Rizvi: “Indian conglomerates have to be adaptive to the changing situations. If not, some of them will survive and others will die. That is the law of nature that the fittest will survive.”

GENERATIONAL SHIFT

At a number of conglomerates, the new generation is playing a more important role than ever before. At Reliance Industries, Mukesh Ambani's three children, Isha, Akash and Anant, have been brought onto the board of directors; they also play operational roles in group companies. Similarly, in the Aditya Birla Group, Kumar Mangalam Birla's two children, Ananya Birla and Aryaman Vikram Birla, have also been brought onto the board of directors of the holding firm, Aditya Birla Management Corp.

You will surely hear more about the new generation of business leaders and the groups they run as India makes progress towards becoming a developed nation by 2047, a full century after Independence—an aspiration articulated by the Narendra Modi government. **BT**